TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

Cash flow and budgets



Strand 2: Enterprise
2.11 Cash flow; 2.12 Cash account and budget;
Strand 1 · 1.12–1.13 Financial position

A revision lesson. Pupils run a car dealership in firms of four and revise cash flow and budgets on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Profit on this deal

Round 1

They pay you in 30 days.

Profit on this deal?

Cars in the deal	**2 cars**
You buy them today, in total	**€28,000**
Prep and delivery, per car	**€300**
Customer pays in total	**€34,000**

ANSWER

€5,400

€34,000 − €28,000 − 2 × €300 = €5,400

Why: €5,400 profit, but €28,600 is out of your cash for 30 days.

2 Improve cash flow

Round 1

Your bank balance is low. Customers take 60 days to pay you.

Which two would improve your cash flow?

- **A** Ask customers to pay sooner
- **B** Buy more cars now to sell later
- **C** Ask suppliers for longer to pay
- **D** Give customers 90 days to pay
- **E** Pay suppliers early for goodwill

ANSWER

✓ Ask customers to pay sooner
✓ Ask suppliers for longer to pay

Why: Cash comes in sooner or goes out later; the other three take cash out sooner.

3 Forecast in order

Round 2

You fill in next month's cash flow forecast.

In what order do you work it out?

- **A** That gives the closing balance
- **B** Add it to the opening balance
- **C** Net cash flow: cash in minus cash out
- **D** It becomes next month's opening balance

ANSWER

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

Why: Net cash flow first; add the opening balance; the closing balance carries over.

Topic tasks

4 Month-end balance

Round 2

A two-month deal.

Balance at the end of month 1?

Set aside for this deal	**€25,000**
Month 1: you buy the cars	**€49,500**
Month 1: customer deposit	**€11,500**
Month 2: rest of the price	**€45,500**

ANSWER

−€13,000

€25,000 − €49,500 + €11,500 = −€13,000

Why: Month 1 is short by €13,000. Month 2 brings €45,500.

5 Cash now or later

Round 3

Your bank balance is low. A taxi firm pays €30,000 today; a hire firm pays €31,000 in 90 days.

Which deal should you take, and why?

A The hire firm: €31,000 in 90 days

B The taxi firm: €30,000 today

ANSWER

✔ The taxi firm: €30,000 today

Why: With cash short, money today matters more than €1,000 more in 90 days.

6 Month-end balance

Round 3

They pay half in month 2.

Balance at the end of month 2? Minus allowed.

Set aside for this deal	**€15,000**
Month 1: you buy the cars	**€42,000**
Running costs, each month	**€400**
Customer's price	**€53,000**

ANSWER

-€1,300

€15,000 − €42,000 − 2 × €400 + €26,500 = −€1,300

Why: Month 2 is still short: the other half comes in month 3.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Cash, profit and VAT”: the 6 come from these 10 questions.

1 You bought a used hatchback for €8,400 and sold it to a customer for €10,400. VAT is 23/123 of the margin. How much VAT does this sale leave to pay?
✔ **€374**

2 This round your firm sold three vehicles. The margins were €1,500, €3,300 and a loss of €600. How much VAT does the round's return ask for?
✔ **€897**

3 Your firm has sold cars this round but has not filed the VAT return yet. Where does the VAT you owe show?
✔ **As a debt in the net position until the return is filed and paid**

4 A customer pays your firm €12,000 for a car that cost you €9,800. Who pays the VAT on this sale to Revenue?
✔ **Your firm, out of the price it received, when it files the return**

5 You sold a van for €15,000 that cost €11,700. What is left of the margin after the VAT on this sale?
✔ **€2,683**

6 Your firm owes €1,122 of VAT this round and files the return late. The late charge is €125. What does the late return cost in total?
✔ **€1,247**

7 Cash €150,000, stock at cost €40,000, a loan of €25,000 and unpaid VAT of €1,200. What is the net position?
✔ **€163,800**

8 Your cash went up by €10,400 when a customer paid for a car that cost €8,400. How much of that cash is not really yours to spend?
✔ **The VAT on the margin, €374, which is owed to Revenue**

9 You sell two scooters to customers: one bought for €2,100 and sold for €2,600, one bought for €2,400 and sold for €2,700. How much VAT do the two sales leave?
✔ **€149**

10 The VAT return opens in the final 90 seconds of the round. Your firm has €2,600 of VAT to pay and €1,900 in cash. What happens if you file now?
✔ **The return cannot be paid in full; the firm needs €700 more cash before it files**